

ship. “Even in President Trump’s last term, the US had flagged certain issues with India, including concerns over medical devices, duties on motorcycles and market access for agriculture produce, dairy and animal products,” he says. The US also withdrew the Generalised System of Preferences (GSP) benefits for India based on a broader logic impacting other countries as well, he points out, but notes that none of these led to any disruption or acrimony and the two countries chose to work towards resolving these issues through discussion.

Wadhawan, however, underlines that Trump’s view of reciprocal trade confined to goods alone is very partial and unfair. “We need to factor in economic flows between countries across goods and services, including services provided by e-commerce and digital companies like Google, Meta, Amazon, and Microsoft, which are US firms and profit hugely on a cross-border basis, to assess how balanced any bilateral relationship is. If we do that, the US is one of the biggest beneficiaries in a highly ‘non-reciprocal’ manner under the post-war global economic framework and can hardly posture as a victim of unfair trade,” he points out.

A key worry remains that higher tariffs by the US could lead to retaliatory tariffs by other countries and cause upheaval in the global trade architecture. Policymakers believe that an across-the-board tariff hike would impact all countries equally and eventually any benefit or disadvantage to India’s exports would depend on the country’s competitiveness. V. Anantha Nageswaran, Chief Economic Advisor to the Government of India, has warned of growing protectionism and said that the world has entered an era of de-globalisation. Global growth and global exports should not be expected to lift domestic exports.

But the impact of any tariff hike on China would have to be assessed and a strategy would have to be devised to ensure that India is able to benefit from it and not just countries like Vietnam, say experts. India could also gain from the US strategy of China+1.

“Trump’s emphasis on ‘reciprocal tariffs’ could pressure India to consider tariff reforms, even though India’s rates are within WTO norms”

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STEADY GROWTH

► The US is India’s top trading partner with \$190 billion in trade ► India’s exports to the US have grown steadily between 2001 and 2023 at a CAGR of 10.48%

Year	US imports from India (\$ bn)	Share of total imports (%)
2001	9.7	0.9
2002	12.4	1
2003	13.8	1.1
2004	16.4	1.1
2005	19.9	1.1
2006	23	1.2
2007	25.1	1.2
2008	26.9	1.2
2009	22	1.4
2010	30.7	1.6
2011	37.5	1.7
2012	41.9	1.8
2013	43.2	1.9
2014	47	1.9
2015	46.7	2
2016	47.7	2.1
2017	50.5	2.1
2018	56.4	2.2
2019	60.1	2.3
2020	53.6	2.2
2021	76.9	2.6
2022	91	2.7
2023	87.3	2.8

SOURCE DEPARTMENT OF COMMERCE, TRADEMAP

Higher tariffs by the US on Chinese goods have also fuelled worries of dumping by China into India that could impact domestic manufacturing and exports. For now, concerns over India’s exports have abated to some extent and global trade seems to be normalising despite the continued conflict in the Middle East. Provisional data revealed that India’s exports grew at the fastest pace in 28 months in October 2024. India’s merchandise exports increased by 17.25% in October to \$39.2 billion while imports grew 3.9% to \$66.34 billion in the month.